



Killer Trader

@KillerTrader_

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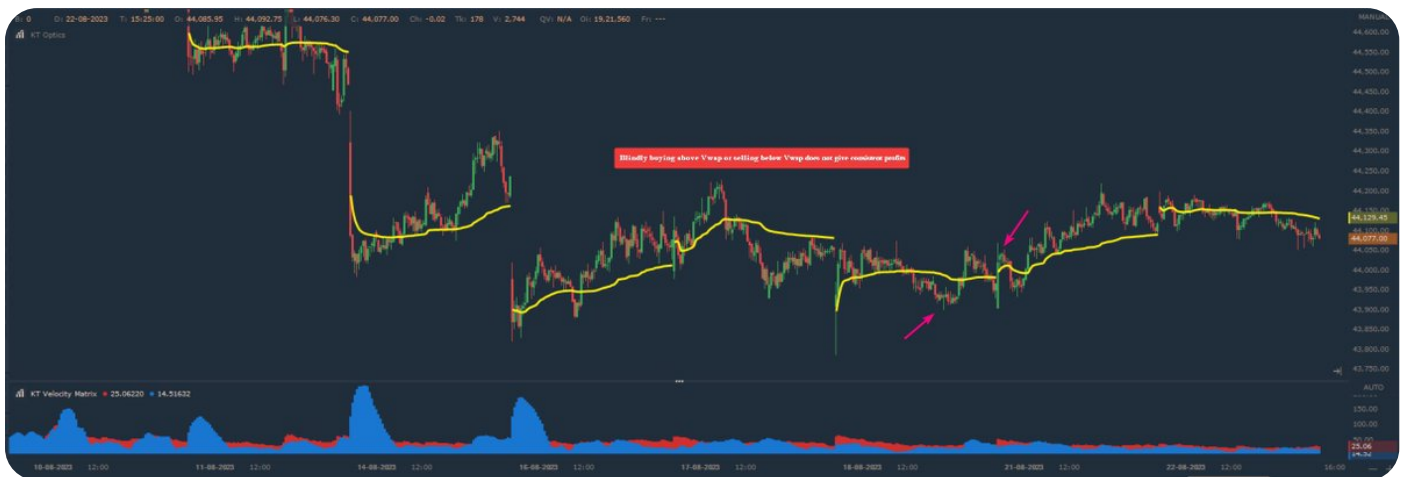
Advanced strategy for scalping and identifying market direction using VWAP and VWAP variances

What is VWAP? Vwap stands for volume-weighted average price. It is the average price at which a stock trades over a period of time taking into consideration volumes traded.

(1/n)

Most traders use vwap as a signal to buy or sell without understanding the market context which gives losses.

(2/n)



When a big player wants to accumulate a large position, they do not buy above Vwap as they will end up paying more than the average.

When they want to build a large short position, they do not sell below vwap as they will sell cheaper than the average.

(3/n)

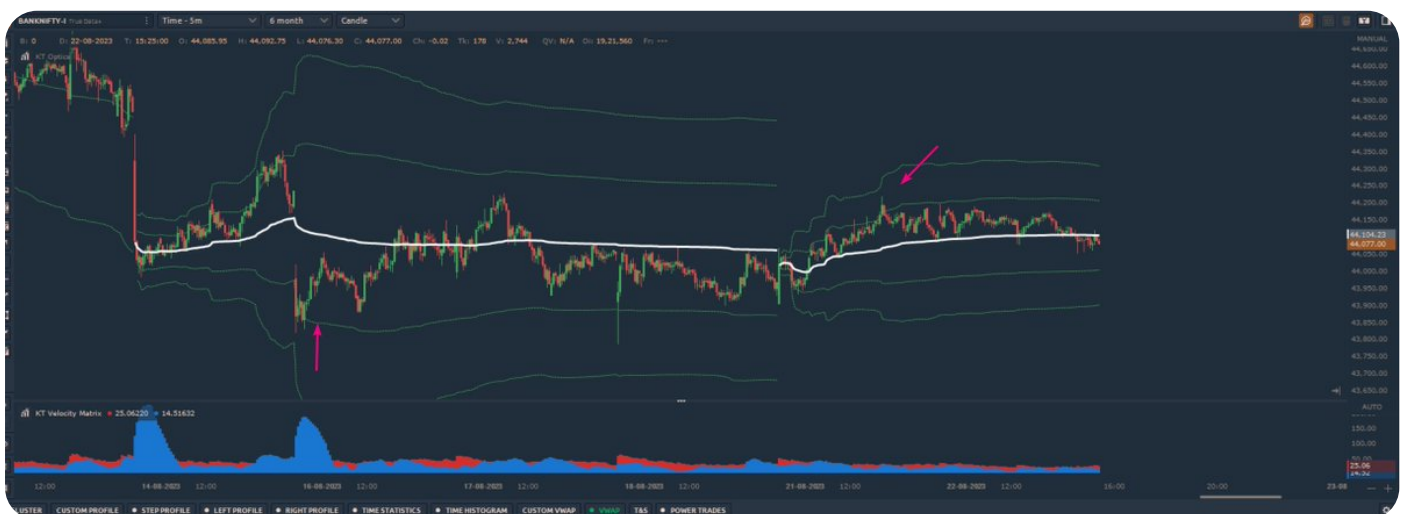
As retail traders, you should not blindly buy or sell above Vwap but understand market structure.

A trader can use something called as Vwap standard deviation built using variance.

(4/n)

Standard deviations are used to calculate how far are we above vwap or below vwap and the possibility of reversals.

(5/n)



Use a weekly period Vwap and vwap standard deviations to understand how far did the market move and if we can get good trading opportunities based on the information.

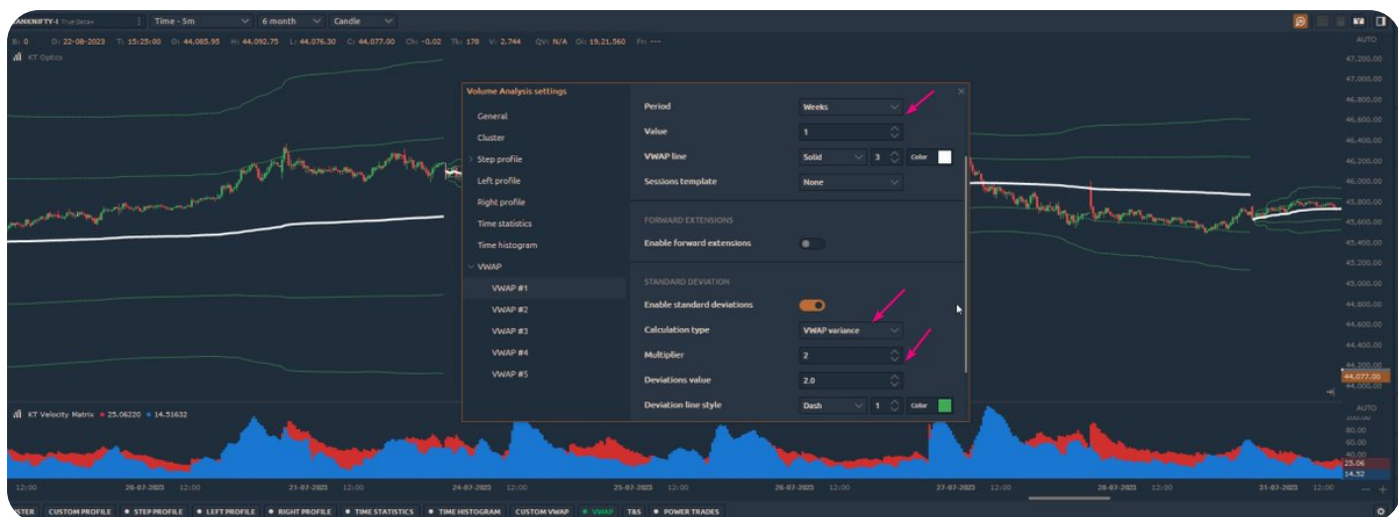
(6/n)

I personally like to use previous week's VWAP and SD bands to give me levels for current week.

(I prefer using developed period's references than developing period's reference as we have other tools to help us track supply demand in real time)

(7/n)

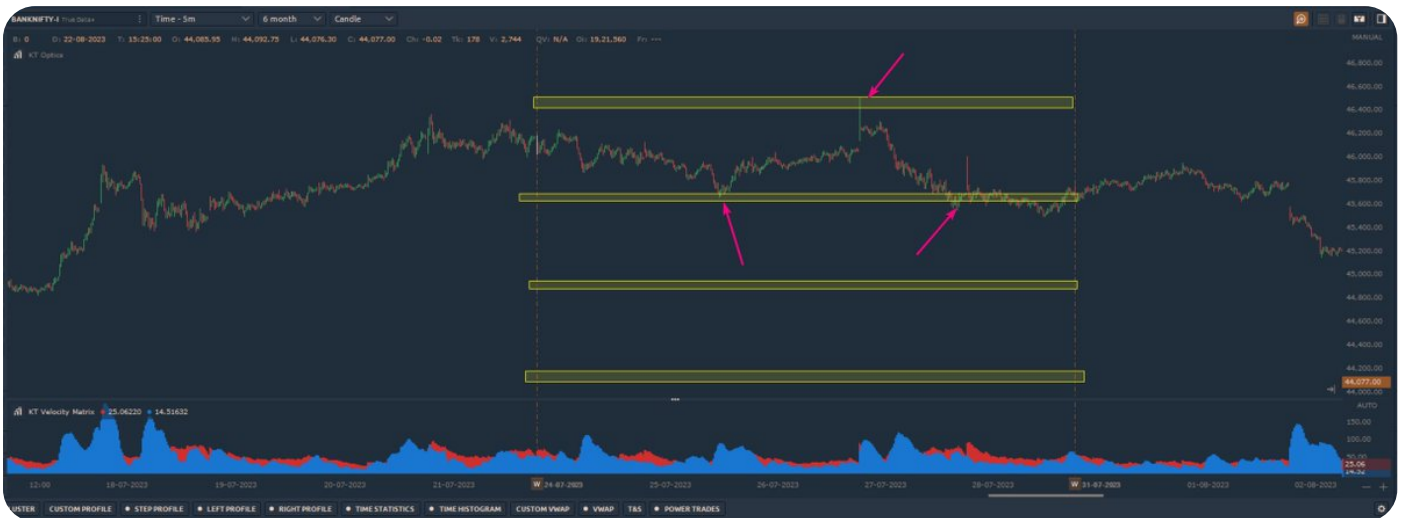
Settings to be used: (8/n)



Now draw zones around previous week's Vwap and SD zones on upsides and downside.
(8/n)



Zones marked around vwap and sd bands of week of 18th. These zones can be used for the week of 24th. See how price reacts at this area (9/n)



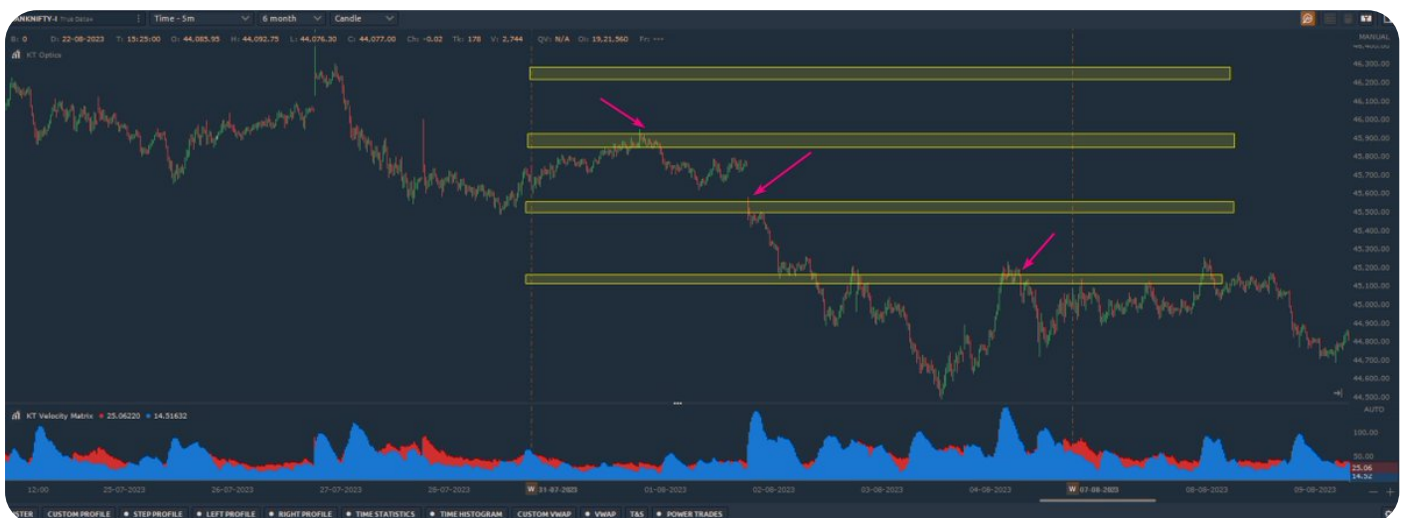
Week of 24th july levels used for week of 31st july. See price reaction at the zones.

(10/n)



BN resistance at 45900 Prev week Vwap and 300 pts fall. Next day broke down of SD band 1 45550F and fall of 400 points.

(11/n)



Using Vwap and SD bands this way will give a trader limited high probability trading opportunities at strong levels.

Positional option traders can also use these zones for entry/exit and adjustments well.

(12/n)

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(13/13)

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